27 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment was cautiously firmer, supported by renewed strength in AI-related stocks and hopes of an easing in Middle East tensions, although a surprise election outcome in Brazil supported haven demand.

Equities were generally firmer across the US and Europe, led by technology stocks, while Asian markets were mixed as concerns around the funding requirements and borrowing costs associated with AI investment persisted.

Bond markets were mixed ahead of several central bank meetings this week, with French bonds outperforming after France avoided a ratings downgrade.

The US dollar strengthened modestly, with the AUD, euro and pound all losing ground against the greenback.

Commodities were mixed, with oil prices retreating as diplomatic talks raised hopes of a de-escalation in the Middle East, while gold edged higher and iron ore softened.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.3%
AUD/USD	0.7018	-0.3%
AUD/JPY	110.55	0.2%
AUD/GBP	0.5259	0.0%
AUD/NZD	1.2351	0.1%
AUD/EUR	0.6278	0.0%
AUD/CNH	4.6791	-0.3%
AUD/SGD	0.8988	-0.1%
AUD/HKD	5.5056	-0.2%
AUD/CAD	0.9838	-0.1%
EUR/USD	1.1177	-0.2%
USD/JPY	157.53	0.4%
USD Index	101.99	0.2%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.71	0.03
90 day BBSY	4.90	0.02
180 day BBSY	5.26	0.03
1 year swap	4.95	0.01
2 year swap	4.91	0.00
3 year swap	4.88	-0.01
4 year swap	4.89	-0.01
5 year swap	4.91	-0.01
6 year swap	4.95	-0.01
7 year swap	4.99	-0.01
8 year swap	5.04	-0.01
9 year swap	5.08	-0.01
10 year swap	5.12	-0.01

Equities	Close	Change
S&P/ASX 200	8,810	0.2%
S&P 500	7,681	0.8%
Japan Nikkei	62,190	-0.8%
Hang Seng	23,212	0.5%
Euro Stoxx 50	6,116	0.8%
UK FTSE100	10,767	0.7%
VIX Index	18.33	-5.8%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.84	0.01
10 year bond	5.16	0.00
United States		
3-month T Bill	4.02	-0.01
2 year bond	4.71	0.03
10 year bond	4.98	-0.01
Other (10 year yields)		
Germany	3.37	0.02
Japan	2.80	0.00
UK	5.34	-0.01

Commodities	Current	Change
CRB Index	414.94	-0.9%
Gold	4013.29	0.4%
Copper	14328	0.0%
Oil (WTI futures)	101.78	-1.4%
Coal (coking)	266.50	0.2%
Coal (thermal)	155.90	-0.6%
Iron Ore	89.60	-0.1%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.20	0.03
3 yr bond	4.88	0.03
3 mth bill rate	4.77	0.00
SPI 200	8,819	-0.1%

Data as at 7:00am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets were cautiously firmer as hopes of a de-escalation in the Middle East and renewed strength in AI-related stocks supported sentiment, although a surprise election outcome in Brazil added to haven demand. Oil prices fell following reports that Tehran hosted senior officials from Saudi Arabia, Pakistan and Turkey for security talks, raising hopes of a diplomatic easing in tensions, although President Donald Trump cautioned that it was nearing "decision time" on whether to reach a deal with Tehran or resume attacks. Meanwhile, investors braced for another round of megacap technology earnings, looking for guidance on whether the recent pullback in AI-related stocks has further to run. The unexpected result in Brazil added to the risk-off tone, supporting demand for haven assets.

- US equities started the week on a firmer footing, with technology stocks leading gains. The Nasdaq outperformed, rising 1.0% as Anthropic officially filed for an IPO, while the S&P 500 gained 0.7% and the Dow Jones edged 0.2% higher. European equities also advanced, snapping a two-day losing streak. The Euro Stoxx 50 rose 0.8%, while the FTSE 100 gained 0.7%.
- Asian equities were mixed to start the week with concerns around rising funding requirements and higher borrowing costs surrounding the AI investment cycle driving markets. The Nikkei 225 extended its decline for a third consecutive session, falling 0.8%, while the Kospi lost 1.5%. The CSI 300 was broadly unchanged. The Hang Seng bucked the broader trend, gaining 0.5%, while the ASX 200 edged 0.2% higher.
- US Treasury yields were mixed ahead of this week's Federal Reserve meeting. The 2-year yield rose 3bps, while the 10-year eased 1bp, with futures markets pricing an 11% chance of a rate hike. European bond markets were also mixed, with the 10-year Bund yield rising 2bps and the gilt yield falling 1bp. French bonds outperformed, with the 10-year OAT yield dropping 12bps after France avoided a downgrade from Moody's. President Macron also said the government would announce "concrete and huge" measures in response to demands from student protesters.
- The front end of the Australian yield curve came under pressure as markets digested weekend comments from RBA Assistant Governor (Economic) Sarah Hunter that the inflation fight was "not quite yet" over. The 3-year yield rose as much as 7bps before lower oil prices helped reverse much of the move, closing just 1bp higher, while the 10-year yield was broadly unchanged. Swap markets price a 64% chance of a rate hike at next week's RBA meeting, with the year-end implied rate at 4.81%.
- The US dollar strengthened modestly, with the USD Index gaining 0.2%. Major currencies weakened against the greenback, with the AUD falling 0.3% to 0.7018, while the euro and pound each lost 0.2%.
- Oil prices retreated as reports of talks aimed at preventing a broader escalation in the Middle East raised hopes of easing regional tensions. Iranian President Pezeshkian said Iran was prepared to support "any understanding" that promotes regional unity. Brent fell 0.9% to US$115.6/bbl, while WTI declined 1.4% to US$101.8/bbl. Elsewhere, gold gained 0.4%, iron ore slipped 0.1% and copper was broadly unchanged.

Today's key data and events

Time	Event	Exp	Prev
12:30	CN Industrial Profits Sep	-	4.2%
20:00	EZ M3 Money Supply Sep	3.4%	3.5%
23:30	US Durable Goods Orders Sep Prel.	1.8%	-0.1%
-	US Building Permits Sep Final	-	-0.2%
0:00	US FHFA House Prices Aug	0.2%	0.3%
0:00	US S&P/CS Home Price Index Aug	0.3%	0.3%
1:00	US Consumer Confidence Oct	81pts	81.9pts
1:00	US Richmond Fed Manufacturing Oct	0pts	-2pts
1:00	US New Home Sales Sep	-4.5%	6.4%

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The **Chicago Fed national activity index** edged up from -0.08 in August to +0.07 in September, remaining consistent with trend growth across the economy.

The **Dallas Fed manufacturing index** rose from 9.8 to 13.4 in October, remaining well above average levels.

Germany's IFO business climate index was broadly unchanged at 90.2 in October, a slight improvement in expectations offsetting a marginal deterioration in respondents' current assessment. The headline index currently sits just above the average of the past 5 years.

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